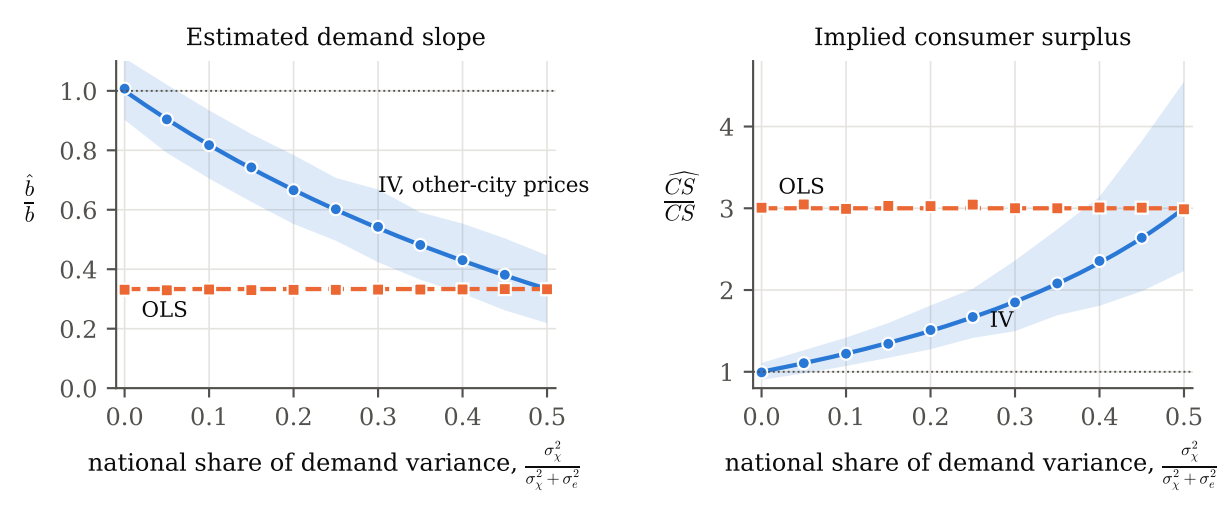
Estimated demand slope
$\frac{\hat{b}}{b}$
1.0
0.8
0.6
0.4
0.2
0.0
IV, other-city prices
OLS
0.0
0.1
0.2
0.3
0.4
0.5
national share of demand variance, $\frac{\sigma_\chi^2}{\sigma_\chi^2+\sigma_e^2}$
Implied consumer surplus
$\frac{\widehat{CS}}{CS}$
4
3
2
1
OLS
IV
0.0
0.1
0.2
0.3
0.4
0.5
national share of demand variance, $\frac{\sigma_\chi^2}{\sigma_\chi^2+\sigma_e^2}$